Nebius Group | Q3 2026 earnings rescore

NOVEMBER 12, 2026 EARNINGS / NASDAQ NBIS / FRAMEWORK 8.0

Core position. Temporary bottleneck in powered, customer-ready AI capacity.

Calculated Q4 2027 ceiling	Analytical Base	Protected Excel Base	Nov. 12 close	Ordinary market cap
$509.23 per share	48/60 (80%)	83	$128.64	$37.68B

New Jersey pushes deliveries into 2027

Nebius expects 2026 sales at the low end of its previous $3–3.4 billion outlook. The call framed that as $3–3.2 billion. At Vineland, DataOne began retiring some temporary generators ahead of the transition to permanent power. Bloom fuel cells are already supplying power. Management moved the remaining Microsoft tranches to Q2 2027.

More cash up front helps finance the next build

Customer advances on new Q3 deals of a year or longer covered over 100% of associated capex, up from 50–60% in Q2. The wider 2027 program still needs asset-backed loans and potentially more equity.

The Q3 letter fills in the deal economics

Nebius reported GPU-hour pricing up more than 20% from Q2, comparable payback down from 22 to 19 months, and Token Factory contract value up 17×. The additional detail supports the existing analytical Base of 80 and Q4 2027 ceiling of $509.23.

The valuation uses 6× forward four-quarter sales through Q1 2028 and 20× forward four-quarter operating profit starting Q2 2028. The new model makes site timing, depreciation and funded shares explicit. The source notes and linked model contain the assumptions behind each window.

Earnings release · Shareholder letter · Call and Q&A · Regular-session close

What was in the Q3 result

The reported quarter included $325.1 million of strategic-partnership revenue at a point in time. The company disclosed group results and the fee amount. The contribution margins below are research assumptions.

Measure, USD M	Q3 actual	Interpretation
Group sales	980.8	AI cloud contributed $973.8M. Strategic-partnership revenue was included in the cloud segment.
Sales excluding partnership item	655.7	Revenue bridge for the current model. The booked item stays in reported results.
Adjusted EBITDA	465.8	47.5% reported margin. The normalized case removes the estimated partner contribution.
GAAP operating profit	50.4	Includes depreciation of $354.7M and stock compensation of $58.7M.
Pre-tax result and net loss	–62.7 / –37.5	The pre-tax result included a $49.5M induced note conversion charge.
Operating cash flow	–273.0	Accounts receivable used $3.76B. Deferred revenue added $3.43B on the cash flow statement.
Cash capex and FCF	7,300.4 / –7,573.4	FCF shown as reported operating cash flow less cash purchases of property, equipment and intangible assets.

Assumed partner contribution	Underlying sales	Underlying adjusted EBITDA	Underlying operating profit
55%	655.7	287.0	-128.4
70%	655.7	238.2	-177.2
85%	655.7	189.5	-225.9

Reported operations and cash flows · Revenue recognition and expense notes

How Q3 compared with Q2

Group sales and adjusted EBITDA grew quickly. The cloud segment also earned more adjusted EBITDA on each dollar of reported sales.

Reported measure	Q2 2026	Q3 2026	Quarterly change
Group revenue	$582.3M	$980.8M	+68%
Group adjusted EBITDA	$236.2M	$465.8M	+97%
AI cloud adjusted EBITDA margin	49.7%	53.2%	+3.5 percentage points
Group net loss	$190.4M	$37.5M	$152.9M narrower
Annualized run-rate revenue at quarter-end	$3.0B	$6.4B	+113%

The $980.8M included a $325.1M strategic-partnership item recognized at a point in time. Q3 sales after removing that item were $655.7M. The 68% increase uses reported revenue for both quarters.

The $6.4B run rate annualizes the last month of the quarter. Management moved its $7B+ run-rate checkpoint to February 2027 and plans to focus 2027 guidance on sales, pre-tax earnings and capacity.

Management raised its 2026 capex plan to about $27B from $20–25B as it spends on owned sites. For 2027 it expects $12–13B in revenue and $40–45B in capex, with a goal of pre-tax break-even in Q4. The New Jersey delay still affects early 2027 billing.

Q2 results · Q2 shareholder letter · Q3 results · Q3 shareholder letter

GPU pricing, payback and customer advances

Measure	Q2 to Q3	What the company measured
Average price per GPU-hour	Up more than 20%	Contract pricing and the mix of new deals in the quarter.
Annual contract value per MW	Above $20M to above $25M	Weighted average for new deals of one to five years.
Expected payback	22 months to 19 months	Comparable one- to three-year deals. Revenue covers capex and operating costs. The calculation excludes the timing benefit of advances.
Capex covered by customer advances	50–60% to above 100%	Associated capital costs on signed deals of a year or longer, including GPU and site costs.

Nebius expects $10B in committed customer advances in 2026 and $17–20B in 2027. Management expects those advances and loans backed by existing investment-grade contracts to cover 75–85% of 2027 capex. The cash model carries about $18B of 2027 advances, $14B of new asset-backed draws and about $4.4B of equity proceeds.

How the forecast uses these figures

The model uses a 10% premium on eligible new bookings, 50% overlap with existing price and mix assumptions, and a 65% commercial success weight. That adds $298M of probability-weighted revenue over Q4 2027 to Q3 2028. Removing the price term alone lowers the current ceiling by $4.90 per share. The blended $19–21M per billable MW covers a wider capacity mix than the new-deal figures.

The shorter payback supports the funding assumptions. Cash collections, commissioning dates and the cost and timing of loan draws still determine the funded share count.

Q3 shareholder letter, customer economics and financing · Management Q&A

Token Factory, enterprise and other businesses

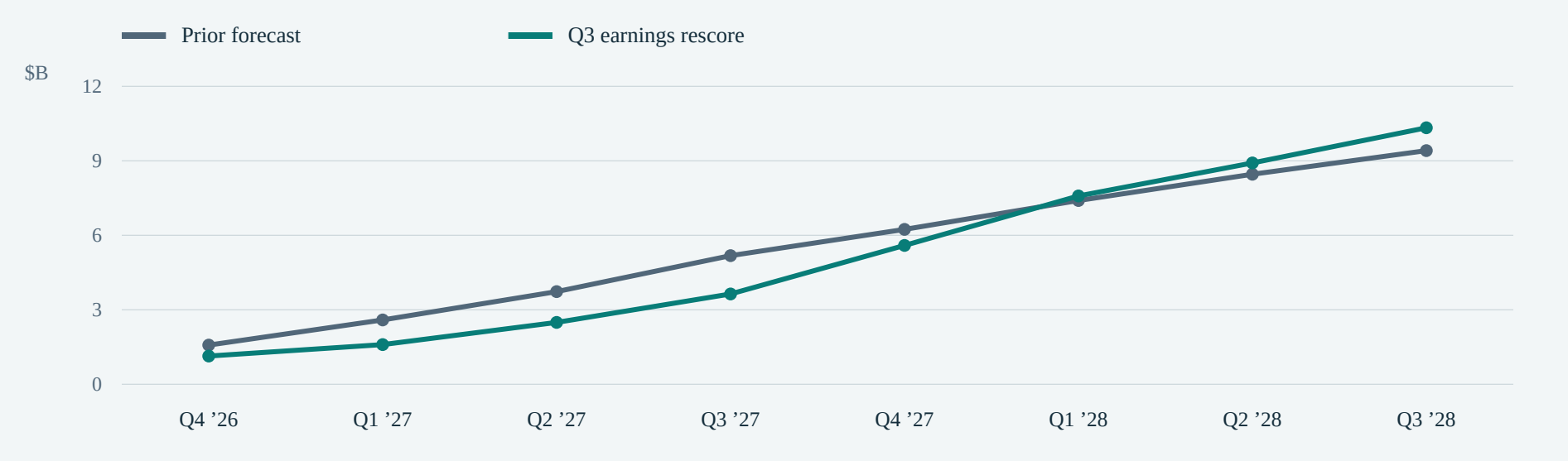
Token Factory runs AI models for customers. Nebius said its contract value grew 17× from Q2 to Q3 and that the product was nearing a run rate in the hundreds of millions of dollars. The company gave no dollar starting point for the 17× figure or schedule for turning those contracts into recognized sales.

Business	What Nebius reported	How it enters the forecast
Enterprise AI cloud	Databricks and Datadog selected Nebius AI Cloud. Snowflake signed a cloud agreement.	These wins support the existing enterprise and inference case. Deal-level revenue and margins remain undisclosed.
Tavily	The web search tool for AI agents passed 3M developers. IBM Research uses it for Granite post-training and expanded the work in Q3.	Nebius owns Tavily. The software case already allows for platform adoption. Separate billings and margins would support a Tavily-specific estimate.
Avride	The fleet reached 250 autonomous vehicles and robotaxis passed 100,000 passenger rides. Avride works with Uber in Dallas and targets fully driverless service in H1 2027.	Its operations are in the group forecast. The update gives deployment milestones. Valuing more sales would require revenue per ride, fleet costs and funding needs.
Toloka	The AI data business doubled its revenue from Q2 to Q3.	Nebius accounts for the stake under the equity method. Toloka’s sales sit outside consolidated group revenue.
ClickHouse	Nebius retains a significant minority stake. ClickHouse raised $400M at about a $15B valuation in January 2026.	The letter repeats that funding round. It gives no fresh secondary price or proceeds for Nebius. The current ceiling assigns no separate value to the stake.

The existing Token Factory and enterprise case starts with $105M of conditional Q4 2027 gross sales. It uses a 65% commercial success weight and removes 65% overlap with GPU and enterprise sales. The active four-quarter window already carries $127M in expected incremental revenue. Removing that term alone lowers the ceiling by $2.14 per share.

Q3 shareholder letter, cloud and other businesses · Consolidation and acquisition notes · Uber’s Dallas launch announcement

Deliveries, pricing and the 2027 reset



USD B	Q4 ’26	Q1 ’27	Q2 ’27	Q3 ’27	Q4 ’27	Q1 ’28	Q2 ’28	Q3 ’28
Prior forecast	1.58	2.59	3.73	5.18	6.24	7.40	8.46	9.41
Revised forecast	1.14	1.60	2.49	3.64	5.59	7.59	8.91	10.33

The prior model had $17.75B of FY2027 sales. Management now guides to $12–13B. The revised model gives $13.32B, including $0.19B of probability-weighted partner sales. Management excluded those partnerships from its guide. The remaining difference reflects the on-time commissioning and realized pricing paths.

Reported contracted power exceeds 4 GW and management still targets 5 GW by year-end 2026. The model uses average billable IT capacity, with installation and acceptance delays. It also retains the existing two assumed 15% price increases on the eligible 10% pool.

Outlook and site schedule · Management Q&A on the 2027 guide

Issuer exhibit | Where capacity comes online

Capacity: Ramp progressing as we shift to owned sites

Shifts in colocation timelines do not reflect structural change

- In New Jersey, we now expect to have delivered more than half of the capacity contracted with Microsoft by the end of the year, with the remaining tranches now scheduled for 2Q27.

  In late Q3, DataOne started to retire some of the site's temporary generation ahead of the move to permanent power. That decision reset the schedule for the remaining tranches. Microsoft has been part of the planning process.

  We are progressing well with our deployment of Bloom fuel cells as the main power source. Bloom generation is already online and we are now scaling this capacity, expecting to deliver additional capacity over the next few weeks.

Owned AI factories give us greater control over delivery...

Our owned sites will account for the majority of the capacity we bring online from 2027 onwards.

- We have secured all the power and components we plan to bring online in 2027, and are aligning construction with each site's scheduled power connection.

  We expect the following new owned sites to deploy capacity in 2027: Missouri, Lappeenranta, our second Mäntsälä site, and Alabama. At scale, these sites represent more than 3 GW of capacity, which we expect to be delivered over the next 3 to 3.5 years.

... And better margin profile

- Building our own facilities gives us greater control over our added capacity, from breaking ground to serving customers. Over time, these dynamics show up in our margin profile.
- We have full visibility and management of the entire build. This also gives us control over the permitting and pre-construction phases and pace of our build out.
- We can accelerate near-term development by running site and preconstruction work in parallel, or slow down based on the demand we see.
- Buildings, power infrastructure and fit-out are built out over a number of phases (which can be over a few years).
- Once they are in place, the capital that follows is replacement capex: the compute, depreciated over five years, is the only layer replaced as new GPU generations arrive, and each refresh earns revenue on infrastructure that is already there.

We build with local communities

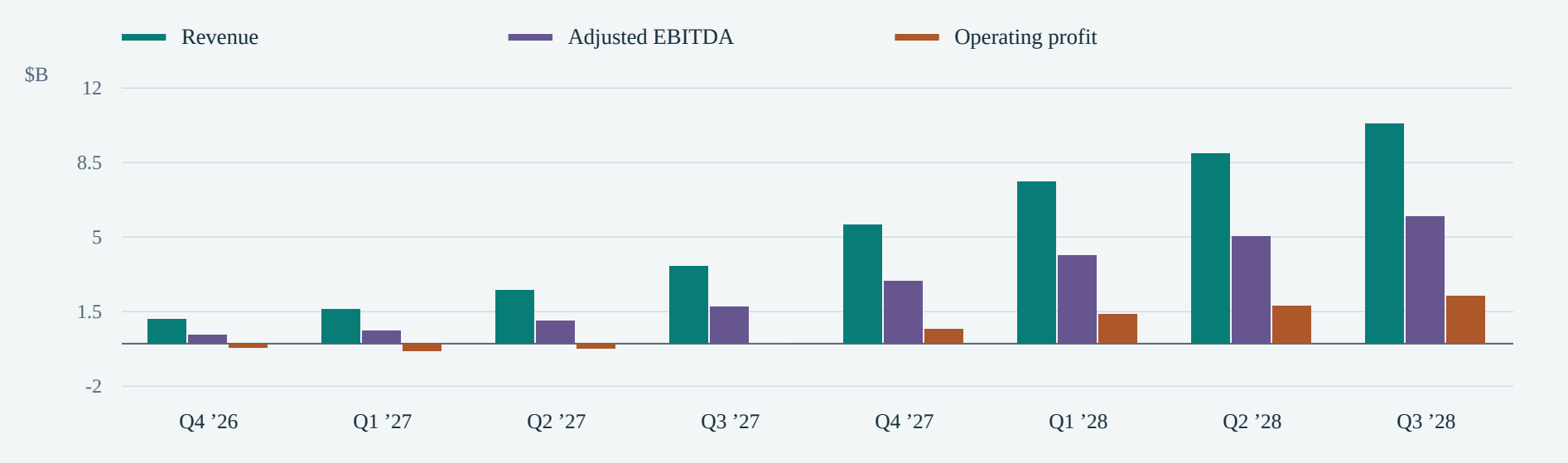
- Our confidence in delivery also reflects how we design our facilities and work with communities and regulators across our U.S. portfolio.
- The US political environment may have shifted, but our responsible by design approach has not. We will continue listening to communities, working transparently, covering power costs, minimizing water use, and generating tangible community benefits.

  As a result of our facility design and proactive engagement efforts, we do not anticipate election impacts on our greenfield or co-location sites, including Pennsylvania.

Nebius describes the shift to owned sites and its remaining New Jersey delivery schedule.

Nebius shareholder letter, page 10

Operating leverage and the cost of new equipment



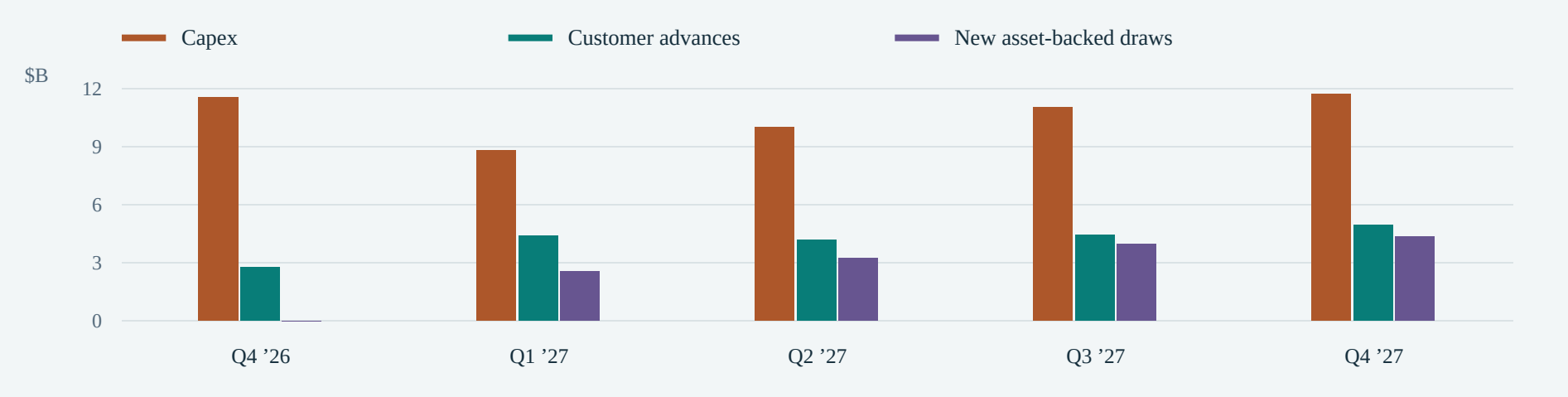
USD B	Q4 ’26	Q1 ’27	Q2 ’27	Q3 ’27	Q4 ’27	Q1 ’28	Q2 ’28	Q3 ’28
Revenue	1.14	1.60	2.49	3.64	5.59	7.59	8.91	10.33
Adjusted EBITDA	0.41	0.58	1.07	1.74	2.94	4.16	5.02	5.96
Operating profit	-0.18	-0.34	-0.22	0.01	0.69	1.39	1.78	2.23
D&A	0.52	0.85	1.21	1.63	2.12	2.61	3.07	3.53
Pre-tax earnings	-0.30	-0.55	-0.51	-0.36	0.22	0.84	1.16	1.55

The model yields Q4 2027 operating profit of $0.69B and pre-tax profit of $0.22B, near management’s break-even milestone. Delayed cases without the commercial gains can remain below break-even. Owned sites reduce colocation rent. More hardware entering service raises depreciation.

Five-year server life and capex · Owned-site and margin discussion

Funding and fully diluted shares

Nebius ended Q3 with $7.43B of unrestricted cash, $9.41B of deferred revenue and $14.19B of balance-sheet debt. August’s $5.75B note issuance is already reflected in the opening position. Citi’s $3.5B October facility is a 364-day bridge with an October 2027 maturity.



USD B except shares	Q4 ’26	Q1 ’27	Q2 ’27	Q3 ’27	Q4 ’27
Capex	11.57	8.81	9.99	11.02	11.71
Customer advances	2.78	4.40	4.20	4.42	4.95
New asset-backed draws	0.00	2.54	3.24	3.95	4.37
Residual equity proceeds	0.21	0.82	1.14	1.22	1.26
Modeled diluted shares (M)	330.2	341.9	355.1	369.0	384.1

The share roll starts from 292.9M ordinary shares and 21.1M pre-funded warrants. Employee awards, a phased reserve on remaining converts and financing shares build from that base. The already completed 15.8M-share note exchange is included in ordinary shares. Citi draw and replacement borrowing enter once, on their respective dates.

Capital resources and debt terms · Citi facility filing

Issuer exhibit | Capex and funding guidance

Financial update

Capital requirements

- We have the flexibility to be opportunistic with external capital when it is cost-effective to do so. We will optimize external capital, and any financing we take, against the cost of capital, and balance it across debt and equity. This year that has meant $5.75 billion of convertible notes in August, approximately $1.0 billion of net proceeds under our at-the-market program in the third quarter — a flexible tool, not a commitment — and short-term facilities on attractive terms, such as the $3.5 billion senior secured facility with Citi in October.
- Which sources we draw on, and when, is our decision: further prepayments, additional asset-backed financing, our balance sheet, corporate-level debt or equity. We will continue to evaluate all of them, and pursue the vehicles that offer the most attractive terms and best serve the long-term interests of the business.

2026 Guidance

We are updating our 2026 guidance for one change: some third-party capacity we expected to come online this year is now scheduled for the first half of 2027. The contracts behind that capacity remain in place.

- **Revenue:** We now expect revenue at the low end of our $3.0-3.4 billion range.
- **Adjusted EBITDA margin:** Unchanged, at approximately 40%.
- **Capital expenditures:** Approximately $27 billion, above our $20-25 billion range, as we invest in capacity for 2027, in particular at our owned sites.
- **ARR:** We had guided to $7-9 billion by December. We now expect ARR to exceed $7 billion for the month of February, a shift of about two months, even before New Jersey ramps up to full capacity.
- **Contracted power:** We continue to expect 5 GW of contracted power by year-end, from more than 4 GW today.

2027: initial outlook

- **Revenue:** $12-13 billion, approximately four times our 2026 revenue.
- **Pre-tax profit:** breakeven in Q4 2027. This is calculated after financing costs, and assumes a five-year depreciation life for compute.
- **Capital expenditures:** $40-$45 billion, sized for more than 1 GW of new capacity. We expect to cover 75-85% of our capex through advanced prepayments and asset-backed financing investment-grade customers along with our balance sheet.
- **Power:** we continue to expect to bring online more than 1 GW of new capacity each year.
- **ARR:** From 2027, we will provide guidance for revenue, pre-tax earnings and capacity. ARR annualizes a single month, and does not reflect the scale of our business.

Nebius outlines the FY2026 and FY2027 funding program, spending guidance and break-even milestone.

Nebius shareholder letter, page 17

Evidence carried into the model

The 65% commercial branch groups overlapping pricing, software and partnership evidence. Financing success depends on the delivery path. Conditional averages are different views of the same cases and their impacts overlap.

Economic outcome	Weight	Conditional outcome and overlap	Active effect or sensitivity
On-time owned sites and Vineland	65%	Faster commissioning adds 180 MW at Q4 2027 exit versus the slower path. Both paths include the announced delay.	$465.39 slower / $532.84 faster conditional ceiling.
Higher booking prices	65%	10% price uplift on eligible new bookings. 50% overlap removed with existing rates and mix.	+$41.7M Q4 2027 revenue and +$4.90/share.
Partner-funded projects	65%	Q4 2027 conditional $180M gross, less 20% overlap. Additional company costs of sales, product and selling reduce profit contribution.	+$93.6M Q4 2027 revenue and +$8.03/share.
Token Factory and enterprise	65%	Q4 2027 conditional $105M gross, less 65% overlap with GPU services and existing commercial assumptions.	+$23.9M Q4 2027 revenue and +$2.14/share.
Financing and collections	78% / 55%	Timely funding with on-time sites or slower delivery. The tighter branch delays advances and uses more equity.	$446.74 tighter / $536.08 timely conditional ceiling.
New bookings, chips and supply	85%	$12B+ signed since Q3 began, $38.7B Q3 RPO and reported 2027 hardware supply support the same deployment path.	Zero extra backlog or chip sales. Their contribution is embedded in the modeled utilization and timing.

Track accepted customer-ready megawatts, realized pricing on new capacity, cash collected against receivables, and the form of the Citi takeout. For partner and Token Factory revenue, look for a repeatable revenue line and enough cost detail to assess contribution.

Bookings, platform and power evidence · Commercial, site and financing Q&A

Scorecard and what can move it

Factor	Points	Evidence
Core thesis	16/20	Powered sites and accepted clusters remain the temporary bottleneck. Own-site control and the platform help. Other cloud providers can compete for the same orders.
Cycle stage	10/10	New capacity and contracts are still growing rapidly. The delivery slips affect the timetable and reduce early billing.
TAM expansion	9/10	Training anchors the base. Managed inference, enterprise deployments and partner-funded capacity expand the market Nebius can serve.
Catalysts	5/5	February ARR checkpoint, remaining Vineland tranches in Q2 2027, and owned-site deliveries and the pre-tax milestone in H2 2027.
Macro	9/10	AI infrastructure demand is strong. Power, grid access and the cost of capital still limit usable supply.
Alpha	3/5	The useful distinction is cash-funded capacity and its date of acceptance. The company and headline growth are widely followed.
Execution	-1	Vineland is evidence of site-level commissioning and dependency risk. New owned sites must deliver on time.
Funding and dilution	-1	The 2027 spend requires advances, term funding and potentially equity. The Citi bridge matures in October 2027.
Customer and collections	-1	Three customers accounted for about 70% of Q3 revenue. One accounted for 75% of September receivables.
Hardware and economics	-1	Five-year compute lives support earnings. Faster refresh, lower residual value or weaker utilization can raise replacement costs.
Analytical Base	48/60	80%, high conviction on the framework’s scoring scale.

Watch for another slip in New Jersey or late acceptance of owned facilities, less cash collected than expected on customer advances, a costly refinancing or equity raise, and a shorter replacement cycle on accelerators.

Training, managed inference and enterprise AI are the main demand channels. Other holdings and investments add company exposure. The valuation uses the consolidated revenue and operating build.

The detail on bookings and named enterprise customers supports the 9/10 market-expansion score. The delivery, funding, collections and hardware deductions still apply. A higher score or ceiling would need evidence of sustained realized GPU prices, recurring inference sales after overlap and costs, or cash collections that reduce the need for equity.

Quarterly operating build | Q4 2026 to Q4 2028

Quarter	Billable MW	Sales $B	Cost of sales $B	Product $B	SG&A $B	D&A $B	OP $B	OP margin
Q4 2026	203	1.14	0.46	0.17	0.17	0.52	-0.18	-15.8%
Q1 2027	304	1.60	0.68	0.20	0.21	0.85	-0.34	-21.2%
Q2 2027	456	2.49	1.01	0.25	0.25	1.21	-0.22	-8.9%
Q3 2027	651	3.64	1.37	0.31	0.31	1.63	0.01	0.2%
Q4 2027	977	5.59	1.95	0.42	0.42	2.12	0.69	12.3%
Q1 2028	1,327	7.59	2.53	0.53	0.52	2.61	1.39	18.3%
Q2 2028	1,559	8.91	2.87	0.60	0.59	3.07	1.78	19.9%
Q3 2028	1,806	10.33	3.21	0.68	0.67	3.53	2.23	21.6%
Q4 2028	2,058	11.64	3.55	0.75	0.75	4.00	2.59	22.3%

Consolidated cost of sales includes power, facilities, hardware support and modeled third-party rent. Product and SG&A include stock compensation and incremental costs to serve platform and partner revenue. The Q4 2026 cost stack is calibrated to the full-year adjusted EBITDA guide.

Power ranges and site timing drive the billable capacity path. Core revenue follows billable MW multiplied by a blended annual yield of $19–21M per MW, divided by four, with separate pricing and other vectors. The Q3 2026 reported quarter and published target are treated separately.

Quarterly operating build | Q1 2029 to Q4 2030

Quarter	Billable MW	Sales $B	Cost of sales $B	Product $B	SG&A $B	D&A $B	OP $B	OP margin
Q1 2029	2,294	12.82	3.84	0.82	0.81	4.45	2.91	22.7%
Q2 2029	2,515	14.06	4.13	0.88	0.87	4.88	3.30	23.4%
Q3 2029	2,745	15.15	4.37	0.94	0.93	5.30	3.61	23.8%
Q4 2029	2,968	16.19	4.58	1.00	0.99	5.72	3.89	24.0%
Q1 2030	3,189	17.18	4.86	1.06	1.05	6.14	4.07	23.7%
Q2 2030	3,400	18.08	5.11	1.11	1.10	6.54	4.22	23.3%
Q3 2030	3,606	18.93	5.34	1.16	1.16	6.93	4.34	22.9%
Q4 2030	3,810	19.75	5.57	1.21	1.21	7.33	4.43	22.5%

Period	Sales $B	Adj EBITDA $B	Capex $B	OP $B	Pre-tax $B	OP margin
FY 2026	3.10	1.24	27.00	-0.43	0.08	-14.0%
FY 2027	13.32	6.33	41.53	0.13	-1.20	1.0%
FY 2028	38.48	21.94	42.44	7.99	5.41	20.8%
FY 2029	58.22	35.08	39.65	13.71	10.33	23.5%
FY 2030	73.94	45.27	38.73	17.06	13.38	23.1%

FY2026 combines reported nine-month results with the modeled fourth quarter. Later results extend the deployment, equipment, funding and costs through the final rolling earnings window. Confidence is higher near term and lower after 2028.

Cash, debt and the cost of the build

Period	Capex $B	Op. cash $B	FCF $B	Advances $B	Asset loans $B	Equity $B	Exit debt $B
Q4 2026	11.57	2.88	-8.69	2.78	0.00	0.21	20.11
FY 2027	41.53	19.25	-22.28	17.97	14.09	4.43	37.88
FY 2028	42.44	23.49	-18.95	18.14	13.45	5.15	51.68
FY 2029	39.65	25.79	-13.86	16.66	11.63	5.52	59.95
FY 2030	38.73	28.02	-10.71	15.93	10.63	9.00	58.44

Operating cash includes advances received and deducts the use of prior advances when customers take service. Asset-backed draws in this table cover the capex program. The Citi bridge and its refinancing are separate workbook rows. Exit debt shows principal at repayment and uses the modeled settlement mix for convertibles.

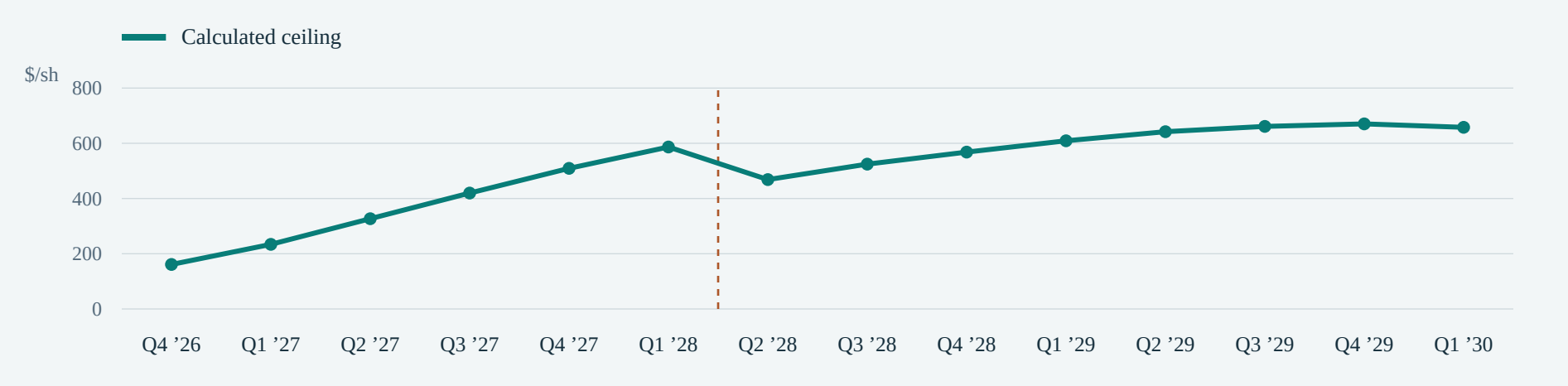
Management expects $17–20B of 2027 customer advances and plans to cover 75–85% of capex with advances and asset-backed financing. The weighted forecast assumes about $18B of advances and $14B of draws before the Citi takeout. It also calls for about $4.4B of equity proceeds across the year, with the rest of the cash bridge supported by operations and additional debt.

The model forecasts interest at different book and cash rates. Book interest reflects capitalized interest and customer advance accretion. Cash tax allows partial access to modeled loss carryforwards and uses a separate effective rate. The forecasts assume regular financing availability and remain cash-flow negative after capex through 2030.

At the current horizon the equivalent valuation share count is 382M. A roughly 20% lower issue price for the same financed build would reduce the target by about $11 per share in the workbook sensitivity. The blended share count is sensitive to the timing of loans and advances and the form of note settlement.

Management's funding outlook · Debt, tax and share notes · Citi agreement

Quarterly ceilings | USD per share



Quarter	Exact forward window	Basis	Forward $B	Multiple	Effective shares (M)	Ceiling
Q4 2026	Q4 2026 to Q3 2027	Sales	8.87	6×	330.17	$161.16
Q1 2027	Q1 2027 to Q4 2027	Sales	13.32	6×	341.64	$233.99
Q2 2027	Q2 2027 to Q1 2028	Sales	19.31	6×	354.44	$326.89
Q3 2027	Q3 2027 to Q2 2028	Sales	25.73	6×	367.82	$419.75
Q4 2027	Q4 2027 to Q3 2028	Sales	32.43	6×	382.06	$509.23
Q1 2028	Q1 2028 to Q4 2028	Sales	38.48	6×	393.56	$586.59
Q2 2028	Q2 2028 to Q1 2029	OP	9.51	20×	405.86	$468.56
Q3 2028	Q3 2028 to Q2 2029	OP	11.03	20×	420.43	$524.52
Q4 2028	Q4 2028 to Q3 2029	OP	12.41	20×	436.82	$568.13
Q1 2029	Q1 2029 to Q4 2029	OP	13.71	20×	450.07	$609.11
Q2 2029	Q2 2029 to Q1 2030	OP	14.87	20×	463.25	$642.04
Q3 2029	Q3 2029 to Q2 2030	OP	15.79	20×	477.71	$661.19
Q4 2029	Q4 2029 to Q3 2030	OP	16.52	20×	492.84	$670.32
Q1 2030	Q1 2030 to Q4 2030	OP	17.06	20×	518.67	$657.85

Published Q3 2026 ceiling kept at $172.22. The dashed line marks the Q2 2028 switch to operating profit.

How the active ceiling is calculated

Q4 2027 values sales from Q4 2027 through Q3 2028. The eight coherent cases are valued individually using 6× their sales and their own diluted share counts. Their weighted average is $509.23. The equivalent numerator and effective denominator are $32.43B and 382.06M shares.

Delivery / commercial / funding	Weight	4Q sales $B	Diluted shares (M)	USD per share	Weighted USD
Slower / core / tighter	5.5%	29.09	420.9	$414.63	$22.86
Slower / core / timely	6.7%	29.09	363.2	$480.52	$32.38
Slower / upside / tighter	10.2%	30.44	419.1	$435.77	$44.61
Slower / upside / timely	12.5%	30.44	362.5	$503.83	$63.04
On time / core / tighter	5.0%	32.83	435.2	$452.71	$22.66
On time / core / timely	17.7%	32.83	367.7	$535.80	$95.08
On time / upside / tighter	9.3%	34.24	432.9	$474.65	$44.12
On time / upside / timely	33.0%	34.24	367.0	$559.83	$184.49

The funded share count is the forecast denominator for each quarter. Interest, amortization, asset-backed debt, customer advances, cash taxes and equity needs are modeled in separate operating and cash rows. The established valuation applies its sales or OP multiple per share. The model includes the cost of servicing and refinancing debt in cash and dilution.

The published comparison uses the same Q4 2027 window and USD per-share basis. The prior model used 336M shares. Keeping those shares on the new sales forecast gives $579.03. The funded denominator brings the weighted result to $509.23. Earlier 2027 billing is lower, while the active window includes three 2028 quarters.

Lower issue prices, delayed draws, slower collections or more cash settlement of convertible notes can raise the amount of funding required. Capex and advance timing matter most during 2027 and at the profit-based handoff.

Sources and open items

Primary evidence	Use in the build
Q3 release and Form 6-K statements	Reported income, operating cash flow and cash capital expenditures.
Shareholder letter and prepared remarks	Price per MW, repayment economics, management guidance and capacity plans.
Full management Q&A	Vineland power transition, 2027 milestones, asset-light timing, customer advances and product roadmap.
Separate SEC financial notes	Cash and restricted cash, capex in construction, RPO, pre-funded warrants, awards, convertible debt and accounting.
October credit filing	Citi interest terms and October 16, 2027 maturity.

Site-level energized IT MW, customer-ready dates and utilization are undisclosed. The MW ladder is a billable-capacity proxy tied to the outlook.

The partnership setup margin, quarter of payment, and future fee economics are undisclosed. Normalization and future contribution use bounded assumptions.

Management's prepayment and asset-backed funding ranges are plans. Receipt timing, leverage, restricted balances and facility-level covenants can differ.

The form of convertible settlement, future ATM use, later award grants, contracted-lease cash versus expense, and cash-tax jurisdiction mix are estimated.

The model attributes no extra value to non-cloud equity stakes. Non-cloud operating costs and revenue are included in the consolidated build.

Q3 release · Shareholder letter · Webcast · Call transcript

Management review · Detailed financial statements · Citi facility

Q2 comparison results · Q2 shareholder letter · Uber and Avride

The linked workbook and model data preserve the quarterly drivers, case calculations and evidence record. The archived prior model and portfolio workbook retain the original forecast vintages.